

VCU333839 Garcia, Anna Teresa vs. Hyundai Motor of America

County: tulare

Division: Civil Law and Motion

Department: 2

Hearing date: 2026-07-07

Motion: Motion to Compel Arbitration

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Re: Garcia, Anna Teresa vs. Hyundai Motor of America

Case No.: VCU333839

Date: July 7, 2026

Time: 8:30 A.M.

Dept. 2-The Honorable Bret D. Hillman

Motion: Motion to Compel Arbitration

Tentative Ruling: To grant the motion and delegate issues of arbitrability to the arbitrator. Tos et a CMC regarding the status of the arbitration on February 19, 2027.

Background Facts

In this Song Beverly Act case, Defendant seeks to compel arbitration of claims for breach of express and implied warranty, and under Business and Professions Code section 17200 involving the purchase of a 2023 Hyundai Palisade, VIN: KM8R44GE7PU640306 ("Vehicle").

Facts – Agreement to Arbitrate and Delegation Clause

Defendant notes that the Vehicle contains a "optional Connected Services system that includes various functions and features such as remote start with climate control, remote door lock and unlock, remote car finder, on-demand diagnostics and alerts, enhanced roadside assistance, and automatic emergency assistance" entitled "Bluelink." (Declaration of Rao ¶15.) To enroll in Bluelink services, customers must agree to the then-effective Connected Services Agreement ("CSA"). (Declaration of Rao ¶16.)

Further, that on January 11, 2024, Plaintiff enrolled the Subject Vehicle in Bluelink services on the Dealer Web Portal ("DWP") through a process known as the Dealer Assisted Enrollment process. (Declaration of Rao ¶16.)

The Bluelink CSA states:

"Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, your Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law. [...] The agreement to arbitrate otherwise includes, but is not limited to: claims based in contract, tort, warranty, statute, fraud, misrepresentation or any other legal theory; claims that arose before this or any prior Agreement (including, but not limited to, claims relating to advertising) [...]" (Declaration of Rao ¶ - Ex. B.)

Plaintiff argues no agreement has been formed under the Bluelink CSA and further that the Bluelink CSA is procedurally and substantively unconscionable.

Neither party appears to discuss the presence of the delegation clauses, however, the Bluelink CSA contains the following delegation clause:

"All issues are for the arbitrator to decide, including the scope and enforceability of this arbitration provision as well as the Agreement's other terms and conditions, and the arbitrator shall have exclusive authority to resolve any such dispute relating to the scope and enforceability of this arbitration provision or any other term of this Agreement including, but not limited to any claim that all or any part of this arbitration provision or Agreement is void or voidable."

Authority and Analysis - Delegation Clause

Malone v. Superior Court (2014) 226 Cal.App.4th 1551 summarizes the applicable analysis with respect to delegation clauses:

"A delegation clause requires issues of interpretation and enforceability of an arbitration agreement to be resolved by the arbitrator. Delegation clauses have the potential to create problems of circularity. For example, suppose an arbitration agreement delegates the issue of enforceability to the arbitrator. If the arbitrator concludes that the arbitration agreement is, in fact, not enforceable, this would mean that the entire agreement, including the delegation clause, is unenforceable—a finding that would undermine the arbitrator's jurisdiction to make that finding in the first place. For this reason, courts have treated the delegation clause as a separate agreement to arbitrate solely the issues of enforceability...

"For this reason, when a party is claiming that an arbitration agreement is unenforceable, it is important to determine whether the party is making a specific challenge to the enforceability of the delegation clause or is simply arguing that the agreement as a whole is unenforceable. If the party's challenge is directed to the agreement as a whole—even if it applies equally to the delegation clause—the delegation clause is severed out and enforced; thus, the arbitrator, not the court, will determine whether the agreement is enforceable. In contrast, if the party is making a specific challenge to the delegation clause, the court must determine whether the delegation clause itself may be enforced (and can only delegate the general issue of enforceability to the arbitrator if it first determines the delegation clause is enforceable). (Rent-A-Center, West, Inc. v. Jackson (2010) 561 U.S. 63, 70)"

Here, clear and unmistakable language is found in the Bluelink CSA:

"All issues are for the arbitrator to decide, including the scope and enforceability of this arbitration provision..."

Challenge to Agreement in its Entirety as Unenforceable

Here, Plaintiff has challenged the Bluelink CSA, noted above, are unenforceable in its entirety on a number of grounds.

The Court, therefore, interprets this challenge, under Rent-A-Center and Malone, above, a challenge "...directed to the agreement as a whole--even if it applies equally to the delegation clause--the delegation clause is severed out and enforced; thus, the arbitrator, not the court, will determine whether the agreement is enforceable."

Therefore, the Court will sever out the delegation clause and enforce it.

As such, the Court grants the motion and compels issues of interpretation, applicability, enforceability, and formation to the arbitrator pursuant to the Bluelink CSA.

The Court further stays this matter pending the arbitrator's rulings on these issues.

If no one requests oral argument, under Code of Civil Procedure section 1019.5(a) and California Rules of Court, rule 3.1312(a), no further written order is necessary. The minute order adopting this tentative ruling will become the order of the court and service by the clerk will constitute notice of the order. Court reporters are usually not available for law and motion matters in the civil division. The parties and counsel must provide their own reporter if they want a transcript of the proceedings.